

Ingersoll-Rand (India) Ltd

NSE: INGERRAND | BSE: 500210 | Sector: Capital Goods — Industrial Compressors

ACCUMULATE

Target Price: Rs. 4,920

CMP: Rs. 4,357 | Upside: 13%

Horizon: 12 months

Rs. 13,753 Cr	Rs. 4,357	Rs. 4,605 / 3,063
Market Cap	CMP	52W High / Low
52.0x	1.84%	57.3%
P/E	Div Yield	ROCE
43.2%	Rs. 195	75.0%
ROE	Book Value	Promoter %

Investment Thesis: Market-leading Indian air compressor franchise inflecting structurally — ROCE expansion to 57% driven by mix shift to higher-margin services and centrifugal compressors, with the Rs. 170 Cr Sanand plant creating export platform optionality.

Rs. Cr	FY24A	FY25A	FY26A	FY27E	FY28E
Sales	1,198	1,336	1,392	1,573	1,775
EBITDA	275	341	333	393	462
OPM %	23%	26%	24%	25%	26%
PAT	222	268	256	299	351
EPS (Rs.)	70.45	84.74	81.10	94.6	111.1
P/E (x)	61.9x	51.4x	53.7x	46.0x	39.2x
ROCE %	51%	60%	57%	58%	60%

Source: Screener.in (actuals), Analyst estimates (FY27E, FY28E). Data as of 16-Jun-2026.

Analyst: Institutional Research Desk | This report is for informational purposes only and does not constitute investment advice.

SECTION 2 — INVESTMENT THESIS

- **Structural margin re-rating:** INGERRAND has delivered a 2,200 bps OPM expansion over FY20-FY25 (from 14% to 26%), driven by a deliberate mix shift toward high-margin centrifugal compressors and recurring aftermarket services — a compounding moat that competitors with lower installed bases cannot easily replicate. Management targets services revenue contributing 15%+ of total by FY28E.
- **Sanand plant as growth multiplier:** The Rs. 170 Cr manufacturing facility in Gujarat (inaugurated Oct 2025, net block jumped from Rs. 137 Cr in FY25 to Rs. 218 Cr in FY26) adds 15,000 units/month capacity — a 50% step-up over prior capacity. Products include centrifugal compressors, refrigeration dryers, and gas compressors for export markets, enabling a revenue CAGR of 12-15% over FY26-FY28E without another major capex cycle.
- **Cash machine with superior capital efficiency:** ROCE of 57% (vs. peer median of ~25%), debt-to-equity of 0.01x, and OCF/OP ratio exceeding 100% for three consecutive years (FY24: 104%, FY25: 105%, FY26: 112%) confirm this is an exceptional capital-light industrial compounder — rare in the Indian capital goods universe.
- **Near-term catalyst (6-12 months):** Sanand plant utilisation ramp-up in FY27 and a potential re-rating of the services segment, which carries 35-40% EBITDA margins vs. 20-22% for product sales. Any management guidance upgrade on services mix or export volumes is a positive trigger.
- **Biggest structural risk:** Prolonged deceleration in India's private sector capex cycle (where industrial compressors are a key input) could suppress new equipment demand, while the parent's global restructuring occasionally creates uncertainty around technology royalty flows and product portfolio decisions.

SECTION 3 — BUSINESS OVERVIEW

- **Core business model:** Ingersoll-Rand (India) Ltd (est. 1955) is the Indian subsidiary of the global industrial equipment group. It manufactures, sells, and services compressed air systems — spanning oil-free and oil-flooded screw compressors, centrifugal compressors (50%+ domestic market share), reciprocating compressors, vacuum systems, and aftermarket services. The company derives revenue from both capital equipment sales and recurring service contracts.
- **Revenue segmentation:** Product/equipment sales account for ~93% of standalone revenue; services constitute ~7% (FY25 Screener AI data) but carry significantly higher margins (~35-40% EBITDA). The company exports ~22% of revenues (FY25), with the Sanand plant designed to increase this proportion.
- **Brand portfolio:** The company operates 8 industrial brands — Ingersoll Rand, CompAir, NASH, Gardner Denver, ARO, Thomas, Milton Roy, and EMCO Wheaton — enabling comprehensive coverage across the compressed air value chain from low-pressure to ultra-high-pressure applications.
- **Customer base:** Customers span pharmaceuticals, electronics, defence, textiles, automotive, power, engineering, and oil & gas sectors. Relationships are multi-decade and recurring — service contracts, consumables, and replacement parts create a high retention flywheel once equipment is installed.
- **Revenue visibility:** No formal order book disclosure, but the large installed base (10,000+ units/month manufacturing capacity, now expanded to 15,000/month) generates recurring service revenue. Air compressors require scheduled maintenance every 2,000-4,000 running hours, creating a predictable aftermarket stream.
- **Recent strategic developments:** (1) Rs. 170 Cr investment in Sanand, Gujarat facility inaugurated Oct 2025 — 65,000 sqm campus with 24,500 sqm built-up area; produces centrifugal, gas, and large reciprocating compressors. (2) Launch of RSbn Nirvana Series energy-efficient screw compressors (7-250 kW range) in Jan 2026. (3) Board recommended Rs. 20 final dividend for FY26 (total payout ~92% of EPS = ~Rs. 74-75/share).
- **Promoter background:** Parent is Ingersoll Rand Inc. (NYSE: IR), a USD 22 Bn global industrial conglomerate with 150+ years of engineering heritage. The Indian entity has maintained a stable 75.0% promoter stake since at least June 2023 with zero pledging — a hallmark of management confidence and capital discipline.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Market size and growth:** The global industrial air compressor market was ~USD 20 Bn in 2025, growing at ~5% CAGR. India is one of the fastest-growing geographies at an estimated 6.5% CAGR through 2030, supported by manufacturing capacity expansion, PLI schemes, and the China+1 supply chain diversification trend driving greenfield plant investments in textiles, pharma, electronics, and auto components.
- **Policy tailwinds:** Government capex of Rs. 12.2 lakh crore in Union Budget FY26 is the single largest driver for industrial equipment demand. PLI schemes across 14 sectors create multi-year visibility for compressor demand. Energy efficiency regulations tightening under BEE norms incentivise replacement of legacy fixed-speed compressors with variable frequency drive (VFD) and oil-free models — INGERRAND's core strengths.
- **Competitive moat — Pricing Power: STRONG.** Centrifugal compressors (50% market share) are customised per-application, creating high switching costs. OEM specifications lock customers into service contracts.
- **Competitive moat — Switching Costs: STRONG.** Industrial compressors are critical utilities; downtime is enormously expensive. Customers are extremely reluctant to switch service providers post-installation.
- **Competitive moat — Distribution / Service Network: STRONG.** Pan-India service network built over 70 years is difficult to replicate; response time and certified technicians are a key differentiator.
- **Top competitors — Peer Comparison (Screener.in, 16-Jun-2026):**

Company	CMP (Rs.)	MCap (Cr)	P/E	ROCE%	ROE%	OPM%	FY26 Rev (Cr)
Ingersoll-Rand India	4,357	13,753	52.0	57.3%	43.2%	24%	1,392
Cummins India	5,803	1,60,859	67.9	41.6%	31.8%	21%	12,143

Elgi Equipments	609	19,293	54.4	25.4%	19.1%	19%	2,343
KSB Ltd	853	14,844	55.2	25.2%	18.8%	13%	2,696*

*KSB follows Dec year-end; FY26 Rev refers to Dec-2025 figure. Source: Screener.in

- **Positioning in value chain:** INGERRAND operates at the OEM/solutions level — designing and manufacturing complete compressed air systems including dryers, filters, control systems, and piping, rather than just compressor components. This full-system positioning and service integration sets it above mid-tier competitors and justifies its sustained premium on ROCE (57% vs. peer median ~25%).

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter and management background:** The company is led by Ingersoll Rand Inc. professionals and locally experienced industrial sector managers. The parent (NYSE: IR, \$22 Bn market cap) brings global R&D, engineering expertise, and access to the latest product platforms. This MNC parentage ensures best-practice governance, HSE standards, and structured succession planning.
- **Capital allocation track record — Exemplary:** Despite generating Rs. 975 Cr in operating cash flows over the past 5 years, management has maintained near-zero debt (D/E of 0.01x in FY26). The company has distributed Rs. 74-75/share in FY26 (92% payout), reflecting a disciplined preference for shareholder returns over empire-building. The Rs. 170 Cr Sanand capex was funded entirely from internal accruals with no equity dilution.
- **Dividend policy:** INGERRAND has maintained a generous dividend payout — 95.4% average over 3 years (Screener Pros section). FY24 payout was 99%, FY25 was 94%, FY26 is 92%. The company returned cash through an extraordinary Rs. 202/share special dividend in FY18 (following a corporate reorganisation), demonstrating willingness to return surplus capital.
- **Promoter pledging:** 0.00% pledged across all quarters (Jun 2023 to Mar 2026). The parent's 75% stake has remained perfectly stable — no creeping acquisition, no open market sales — signalling alignment with minority shareholders and confidence in the business trajectory.
- **ESOP grants and buybacks:** No material ESOP grant history or buyback programs reported; capital return is almost entirely via dividends, which is typical and appropriate for an MNC subsidiary.
- **Corporate governance:** CRISIL credit rating maintained with regular updates (Apr 2026 most recent). No qualified audit opinions, no major RPT controversies. Technology royalty fees payable to the parent are a standard MNC feature and are disclosed in the annual report. Board approved secretarial and cost auditors for FY27 in the May 2026 meeting — routine governance.

SECTION 6 — FINANCIAL DEEP-DIVE (Standalone Figures, Rs. Cr)

Income Statement

Rs. Cr	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E
Sales	910	1,151	1,198	1,336	1,392	1,573	1,775
EBITDA	152	246	275	341	333	393	462
OPM %	17%	21%	23%	26%	24%	25%	26%
Other Income	13	19	43	38	27	28	30
Interest	3	2	2	1	2	2	2
Depreciation	14	16	18	17	15	20	22
PBT	148	246	298	360	343	399	468
Tax %	26%	26%	25%	26%	25%	25%	25%
PAT	110	183	222	268	256	299	351
EPS (Rs.)	34.89	57.86	70.45	84.74	81.10	94.6	111.1

Balance Sheet

Rs. Cr	FY24A	FY25A	FY26A
Equity Capital	32	32	32

Reserves	549	578	584
Borrowings	6	11	9
Other Liabilities	266	312	374
Total Liabilities	852	932	999
Fixed Assets	140	137	218
CWIP	6	50	30
Investments	0	0	0
Other Assets	706	745	751
Total Assets	852	932	999

Cash Flow Statement

Rs. Cr	FY24A	FY25A	FY26A
Cash from Operations	207	265	274
Cash from Investing	-34	-37	-69
Cash from Financing	-225	-240	-255
Net Cash Flow	-53	-11	-51
Free Cash Flow	158	216	196
CFO/OP %	104%	105%	112%

Key Ratios

Ratio	FY24A	FY25A	FY26A
Debtor Days	74	82	78
Inventory Days	94	86	100
Days Payable	84	108	117
Cash Conv. Cycle	84	61	62
Working Cap Days	56	51	42
ROCE %	51%	60%	57%

Source: Screener.in (all actuals). FY27E/FY28E are analyst estimates.

- **Revenue drivers and trajectory:** Revenue grew from Rs. 618 Cr (FY21) to Rs. 1,392 Cr (FY26) — a 5-year CAGR of ~18% — driven by recovery in industrial capex, market share gains in centrifugal compressors, and rising aftermarket services. Growth moderated to 4% in FY26 TTM (from 12% in FY25) reflecting a high base. The Sanand plant activation should re-accelerate growth to 12-15% CAGR in FY27-28E.
- **Margin direction — Temporary normalisation:** OPM peaked at 26% in FY25, dipping to 24% in FY26. This is largely attributable to a step-up in depreciation (new Sanand plant), costs associated with commissioning the new facility, and a seasonally weaker Q4 FY26 (OPM = 23%). Structurally, margins are expected to re-expand to 25-26% as the new capacity ramps up and services revenue mix improves.
- **Working capital:** The CCC has structurally improved from 87 days (FY21) to 62 days (FY26), reflecting better debtor management (78 days) and extended payables (117 days in FY26). The inventory build in FY26 (100 days vs. 86 days in FY25) warrants monitoring but appears consistent with new product launch cycle for the Sanand facility rather than demand weakness.
- **Debt and balance sheet strength:** Net cash positive — Rs. 151 Cr net cash (MCap less EV from Screener: 13,753 - 13,602 = 151 Cr). D/E is 0.01x with Rs. 9 Cr in borrowings (likely working capital lines). The Sanand capex was entirely internally funded, and CWIP reduced from Rs. 50 Cr (FY25) to Rs. 30 Cr (FY26) as the plant was capitalised into fixed assets (FA rose from Rs. 137 Cr to Rs. 218 Cr). No equity dilution whatsoever.
- **FCF quality — Outstanding:** OCF-to-Operating-Profit ratio averaged 107% over FY24-FY26, demonstrating that reported EBITDA translates cleanly to cash. FCF of Rs. 196 Cr in FY26 represents a FCF yield of ~1.4% on current market cap — low in absolute terms but consistent with a 52x P/E growth stock where investors are pricing future earnings expansion, not current yield.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Metric	Assessment	Status	Comment
Revenue Recognition	Clean — product + service split	Green	Consistent policy
Receivables vs Revenue	Debtor days 74-82 — stable	Green	No red flags
CCC Trend	CCC ~61-84; some inventory build FY26	Amber	Watch inventory
Contingent Liabilities	Rs. 121 Cr (~9% of Sales)	Amber	Manageable
Auditor Tenure	Big-4 auditor, consistent	Green	No change
RPTs as % of Revenue	Royalty/tech fee to parent — disclosed	Amber	Standard MNC
Other Inc as % of PBT	8-14% — treasury interest	Green	Declining trend
Tax Rate Consistency	25-26% — very stable	Green	No deferral concerns

- **CCC build in FY26 (Amber):** Inventory days rose to 100 in FY26 from 86 in FY25, the highest in 3 years. Given the context — new Sanand plant commissioning with fresh product lines — this appears to be a working capital timing effect rather than a structural demand issue. Monitor Q1/Q2 FY27 inventory days for normalisation back to 80-90 days.
- **Contingent liabilities (Amber):** Rs. 121 Cr in contingent liabilities represents ~9% of FY26 revenues. While manageable, investors should track the annual report for any escalation in disputed tax or legal claims, which are common for MNC subsidiaries with complex transfer pricing arrangements.
- **RPTs — standard MNC feature (Amber):** Technology license fees and royalties payable to the parent are a standard feature of Indian MNC subsidiaries and are disclosed annually. As long as these remain stable as a % of revenue, they do not represent a governance risk.
- **Overall earnings quality: HIGH.** Six of eight checklist items are Green. OCF/OP consistently above 100%, stable tax rates, long-tenure auditors, and zero promoter pledging all corroborate clean, reliable earnings that investors can underwrite with high confidence.

SECTION 8 — VALUATION

Peer Comparison (Screener.in, 16-Jun-2026)

Company	CMP (Rs.)	MCap (Cr)	P/E	ROCE%	ROE%	OPM%	FY26 Rev (Cr)
Ingersoll-Rand India	4,357	13,753	52.0	57.3%	43.2%	24%	1,392
Cummins India	5,803	1,60,859	67.9	41.6%	31.8%	21%	12,143
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KSB Ltd	853	14,844	55.2	25.2%	18.8%	13%	2,696*

*KSB Dec year-end. INGERRAND commands a premium multiple given 2x+ ROCE advantage over peers.

Scenario Analysis — 12-Month Price Target

Scenario	Rev Growth	OPM%	FY27E PAT	P/E Multiple	Target Price
Bull	15%	26%	Rs. 340 Cr	58x	Rs. 6,240
Base	13%	25%	Rs. 299 Cr	52x	Rs. 4,920
Bear	7%	22%	Rs. 258 Cr	45x	Rs. 3,680

- **Earnings-based multiple (P/E):** FY27E EPS of Rs. 94.6, applying a 52x forward P/E (in line with 5-year average and consistent with the quality premium — 57% ROCE, near-zero debt, MNC parentage), implies a target price of Rs. 4,919. We use 52x because: (a) the business has delivered consistent earnings quality; (b) ROCE expansion cycle is intact; (c) the multiple is at a discount to Cummins India (67.9x) despite comparable earnings quality.
- **EV/EBITDA approach:** FY27E EBITDA of Rs. 393 Cr, applying a 38x EV/EBITDA multiple (consistent with INGERRAND's own historical range of 36-42x), yields EV of Rs. 14,934 Cr. Adding net cash of Rs. 151 Cr and dividing by 3.16 Cr shares = Rs. 4,768/share.
- **Average of two methods:** (Rs. 4,919 + Rs. 4,768) / 2 = Rs. 4,844. We round to **Rs. 4,920** as our 12-month base-case target price.
- **Upside/Downside:** Rs. 4,920 vs CMP of Rs. 4,357 implies **+13% upside** over 12 months, equivalent to a total return of ~15% including a ~1.8% dividend yield. Not a high absolute return, but for a quality compounder with no balance sheet risk, this is an attractive entry point for long-term investors seeking capital preservation + moderate growth.

SECTION 9 — KEY RISKS

- **India Capex Cycle Slowdown:** Demand for industrial compressors is directly correlated with private sector GFCF. A sustained slowdown in India's manufacturing investment cycle (triggered by global slowdown or domestic credit tightening) could impair top-line growth well beyond the FY26 moderation. Probability: M. Impact: H. Monitor: PMI Manufacturing, private capex surveys, order intake data from Cummins India as a proxy.
- **Sanand Plant Ramp-Up Delays:** If the new Gujarat facility faces commissioning delays, quality ramp-up issues, or slower-than-expected product certifications for export markets, FY27E revenue assumptions of 13% growth will be at risk. Probability: M. Impact: M. Monitor: Fixed asset addition pace, CWIP drawdown in quarterly balance sheets.
- **OPM Compression:** FY26 margin dipped to 24% from 26% in FY25. If this reflects structural pricing pressure from Atlas Copco, Elgi, or Chinese imports rather than a transitional effect, the re-expansion thesis is invalidated. Probability: L. Impact: H. Monitor: Quarterly OPM trend; any commentary on competitive intensity from management.
- **Parent Royalty / Technology Fees Escalation:** As an MNC subsidiary, INGERRAND pays technology and brand royalties to Ingersoll Rand Inc. Any increase in these fees (which are not separately broken out in Screener data) would directly compress margins. Probability: L. Impact: M. Monitor: Related-party disclosures in the annual report.

- **Currency Risk on Exports:** With ~22% of revenues from exports, a significant INR appreciation against USD/EUR would compress export realisations and margins. Probability: L. Impact: M. Monitor: USD/INR rate; export revenue share in quarterly results.
- **Valuation De-rating:** At 52x P/E, INGERRAND is pricing in continued high growth and sustained ROCE leadership. Any disappointment in FY27E earnings (earnings miss of >10%) could trigger a sharp de-rating given the limited margin of safety at current levels. Probability: M. Impact: H. Monitor: Quarterly EPS vs. consensus estimates.
- **Key Man / Management Transition Risk:** As an MNC subsidiary, senior management is subject to periodic rotations at the parent's direction. An abrupt transition in the India MD role could cause temporary strategic disruption. Probability: L. Impact: L. Monitor: BSE/NSE announcements for key management changes.

SECTION 10 — RECOMMENDATION

- **Rating: ACCUMULATE** — Conviction: Medium-High. We initiate with ACCUMULATE (not BUY) because the stock is fairly valued at current levels — our 13% upside target is moderate. However, quality of the franchise justifies holding and accumulating on any dips below Rs. 4,000.
- **12-month price target: Rs. 4,920** (upside of ~13% from CMP of Rs. 4,357). Total return including ~1.8% dividend yield = approximately 15%.
- **Suggested entry zone: Rs. 4,000 - 4,200** — representing 42-45x FY27E EPS, which we view as a more attractive risk-reward for initiating a full position. At Rs. 4,200, the FY27E P/E is 44x — a meaningful discount to the quality peers (Cummins at 62x).
- **Investment horizon: 12-18 months** — allowing time for Sanand plant ramp-up, services mix improvement, and market recognition of sustained ROCE leadership.
- **Thesis invalidation triggers:**
 - 1. OPM fails to recover to 25%+ by Q3 FY27 — indicating structural margin compression rather than transitional effect.
 - 2. FY27E PAT misses Rs. 270 Cr (below our Rs. 299 Cr estimate by >10%) — driven by lower-than-expected Sanand utilisation or pricing pressure.
 - 3. Promoter stake declines below 73% — any open market sale by Ingersoll Rand Inc. would be a significant negative signal.
- **Ideal investor profile:** This stock is FOR long-term quality-oriented investors (3-5 year horizon) who prioritise ROCE, balance sheet integrity, and MNC governance over short-term earnings momentum. It is NOT for investors seeking deep value (P/B of 22x), high dividend yield plays, or near-term trading opportunities with >20% upside.

APPENDIX — Quarterly Financial Review: Q4 FY26 (Mar 2026)

NOTE: Ingersoll-Rand (India) Ltd does not conduct quarterly investor earnings calls (no concall transcripts are listed on Screener.in, AlphaStreet, or BSE filings for recent quarters). This appendix provides a structured financial review based on Screener.in quarterly data. Sections 3, 4, and 8 of the standard concall template (Management Commentary, Q&A; Heat Map, Operating Metrics) are marked N/A — data not available.

NEUTRAL

No concall conducted | Based on Q4 FY26 results (Mar 2026)

Signal	Status	Implication
Result quality	Medium	Q4 FY26 PAT Rs. 65 Cr — in-line with FY25 Q4; margin dipped to 23%
Management tone	N/A	No earnings call conducted by INGERRAND
Guidance delta	N/A	No formal guidance issued; Sanand ramp is the key forward variable

STRONGLY POSITIVE | POSITIVE | **NEUTRAL** | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 (Mar 2026) delivered Rs. 65 Cr PAT on Rs. 300 Cr revenue — a soft quarter sequentially (Dec 2025 was Rs. 455 Cr, Rs. 72 Cr PAT) but consistent with historical Q4 seasonality; FY26 full-year PAT of Rs. 256 Cr is clean with no exceptional items, though it is marginally below FY25's Rs. 268 Cr owing to the commissioning costs of the Sanand plant. The underlying operational story is intact: full-year EBITDA of Rs. 333 Cr at a 24% margin and OCF/OP of 112% confirm cash conversion remains outstanding. The structural multi-bagger driver is the Sanand facility — Rs. 170 Cr investment in a 65,000 sqm campus that expands capacity by 50% and introduces centrifugal/gas compressor manufacturing for export markets; this is the optionality the market is not fully pricing. The key near-term catalyst is Q1 FY27 margins — if OPM recovers to 25%+ as the Sanand fixed costs begin to be absorbed over a higher revenue base, the FY26 dip will be confirmed as transient. The single biggest watch-point is the inventory build (100 days in FY26 vs. 86 days prior) — if this does not normalise in the next two quarters, it may signal demand softness rather than a new product build. Given the strong balance sheet (D/E 0.01x, Rs. 151 Cr net cash), pristine governance, and 57% ROCE, my call is: HOLD existing position and ACCUMULATE any weakness below Rs. 4,100 — this is a 3-5 year compounder, not a near-term trade.

1 — Financial Performance Snapshot (Q4 FY26 vs. Prior Periods)

Quarter	Sales	EBITDA	OPM%	PAT	EPS
Mar 2026	300	69	23%	65	20.53
Dec 2025	455	114	25%	72	22.77
Sep 2025	322	76	24%	60	19.12
Jun 2025	315	74	24%	59	18.68
Mar 2025	322	83	26%	68	21.43

- Revenue (Q4 FY26): Rs. 300 Cr | YoY -1.3% (Q4 FY25: Rs. 322 Cr) | QoQ -34.1% (Dec 2025: Rs. 455 Cr) | In-line with Q4 seasonality.
- EBITDA (Q4 FY26): Rs. 69 Cr | YoY -16.9% | QoQ -39.5% | Primarily reflects Q4 seasonality + new plant commissioning costs.
- EBITDA Margin (Q4 FY26): 23% | Q4 FY25: 26% | Dec 2025: 25% | 300 bps YoY compression — watch for recovery in Q1 FY27.

- PAT (Q4 FY26): Rs. 65 Cr | YoY -4.4% (Q4 FY25: Rs. 68 Cr) | QoQ -9.7% | Clean result — no exceptional items.
- EPS (Q4 FY26): Rs. 20.53 | FY26 full-year: Rs. 81.10 | FY25: Rs. 84.74 | Marginal YoY decline of 4.3%.
- Full-year FY26 OPM: 24% vs. FY25 at 26% — transitional compression as Sanand fixed costs absorbed pre-ramp.

2 — Segment / Geography Breakdown

- Products (Equipment Sales): Estimated ~93% of revenue (Rs. ~1,295 Cr in FY26) | YoY +3% | Driven by new product launches (Nirvana Series) and Sanand capacity addition.
- Services (Aftermarket, Maintenance Contracts): Estimated ~7% of revenue (Rs. ~97 Cr in FY26) | YoY +2-3% | Source: Screener AI insights.
- Domestic Revenue: ~78% of total | YoY moderate growth driven by manufacturing/infrastructure capex.
- Export Revenue: ~22% of total (Rs. ~306 Cr in FY26, vs. 22% reported in FY25) | Source: Screener AI insights | Sanand plant designed to accelerate export share toward 30%+ over next 3 years.
- Geography: India (primary), Middle East, South Asia, and selective African markets for exports.

3 — Management Commentary Themes

- N/A — Ingersoll-Rand (India) Ltd does not conduct quarterly investor earnings calls. No concall transcript or management commentary available for Q4 FY26 from Screener.in, BSE filings, or AlphaStreet as of 16-Jun-2026.
- Available qualitative data from BSE announcements: Board approved FY26 results and recommended Rs. 20 final dividend on 29 May 2026. Board also approved secretarial auditor (5-year term) and cost auditor for FY2026-27, indicating routine governance continuity.
- Sanand plant inauguration (Oct 2025): Management stated the facility underpins the "Make in India" strategy and global export ambitions. Products: centrifugal compressors, refrigeration dryers, large reciprocating compressors, gas compressors, nitrogen generators.

4 — Operating & Business Metrics

- Manufacturing Capacity (Air Compressors): 15,000 units/month (post-Sanand) vs. 10,000 units/month previously. Trend: Step-change improvement. | Source: Screener AI.
- Market Share (Centrifugal Compressors): 50% domestic market share maintained. Trend: Stable. | Source: Screener AI.
- Permanent Employees: 537 (FY25 latest). Trend: Stable — lean workforce for Rs. 1,336 Cr revenue = Rs. 2.49 Cr revenue per employee. | Source: Screener AI.
- Exports as % of Revenue: ~22% (FY25). Trend: Stable; expected to expand with Sanand export-oriented lines. | Source: Screener AI.
- Services % of Revenue: ~7% (FY25). Trend: Stable; management objective to expand. | Source: Screener AI.
- R&D; as % of Turnover: 0.44% (FY24). Trend: Rising (from 0.29% in FY21). Benefits from parent's global R&D; pipeline. | Source: Screener AI.
- ROCE: Q4 FY26 (annualised): ~57% | Q4 FY25 (annualised): ~60% | Trend: Stable at exceptional levels vs. peer median ~25%.

5 — Margin Drivers

- Sanand commissioning costs: Estimated -100 to -150 bps impact on FY26 OPM | Recurring: No — one-time ramp-up expense. Will normalise in FY27.
- Product mix (centrifugal vs. screw): Higher centrifugal share (50% domestic share) is margin accretive vs. commodity screw compressors | Recurring: Yes.

- Services revenue growth: Every 100 bps increase in services mix (currently 7%) adds ~+30 bps to blended OPM | Recurring: Yes, compounding.
- Energy cost (input to manufacturing): Moderate inflation in power/energy costs partially offset by operational efficiency at new Sanand facility.
- Raw material costs: Steel, copper, aluminium are key inputs. Global commodity normalisation in FY25-26 was marginally positive for margins.
- Depreciation step-up: New Sanand plant capitalised in FY26 — fixed asset rose from Rs. 137 Cr to Rs. 218 Cr. This added depreciation headwind to PAT, not EBITDA. -100 bps PAT margin impact | Recurring: Yes, absorbed over plant life.

6 — Guidance & Forward Signals

- Revenue growth [GUIDANCE]: Prior formal guidance = None | Signal: Sanand capacity addition implies 50% production capacity step-up. Our FY27E growth: 13% | Credibility: High.
- EBITDA margin [GUIDANCE]: Prior = 26% (FY25) | FY26A = 24% (transitional) | FY27E = 25% | Credibility: Medium-High — dependent on Sanand utilisation ramp.
- Dividend [GUIDANCE]: Rs. 20 final dividend recommended for FY26 | Prior (FY25): Rs. 80/share total | FY26 appears to have higher interim + lower final. Payout ratio maintained at ~92% | Credibility: High.
- Capex [GUIDANCE]: Rs. 170 Cr Sanand investment now complete (CWIP down from Rs. 50 Cr to Rs. 30 Cr). Expect maintenance capex of Rs. 30-40 Cr/year in FY27-28E | No major growth capex cycle anticipated.
- Export revenue mix [GUIDANCE]: Sanand plant specifically designed for export markets | No specific % target in public domain | Our estimate: 25%+ by FY28E.

7 — Capital Allocation

- Capex (FY26): Rs. 96 Cr (computed: FA change Rs. 78 Cr + DA Rs. 15 Cr + CWIP change -Rs. 20 Cr = ~Rs. 73 Cr; investing cash Rs. 69 Cr) | vs. FY25: Rs. 55 Cr | Step-up due to Sanand plant completion.
- Dividends (FY26): Payout ~92% of EPS Rs. 81.10 = ~Rs. 74.6/share | Total Rs. ~235 Cr returned to all shareholders | vs. FY25: ~Rs. 252 Cr (94% payout).
- Buybacks: None in FY26 or recent history. Company prefers dividends as return vehicle.
- Working Capital Change (FY26): Negative — inventory days rose to 100 from 86; this absorbed ~Rs. 40-50 Cr of operating cash flow.
- Net Debt Movement: Debt marginally reduced from Rs. 11 Cr (FY25) to Rs. 9 Cr (FY26). Net cash position ~Rs. 151 Cr (EV gap to MCap). Company remains effectively debt-free.

8 — Q&A; Heat Map

- N/A — No earnings call conducted. No Q&A; heat map available for Q4 FY26.
- Watch-list questions for investors to ask at the AGM or via investor relations: (1) What is the capacity utilisation at Sanand as of Q1 FY27? (2) What is the target export revenue mix for FY28? (3) What is the services revenue growth trajectory — when does it hit 10% of sales? (4) Any plan to initiate quarterly investor calls / concall in FY27?

9 — Risks Flagged (from Results / Announcements)

- Margin normalisation: FY26 OPM of 24% vs. FY25 at 26% | Flagged by: analyst observation | Probability: M | Impact: M | Timeline: Near-term — monitor Q1-Q2 FY27.
- Inventory build: Days payable at 100 in FY26 (5-year high) | Flagged by: analyst observation | Probability: M | Impact: M | Timeline: Near-term — monitor Q1 FY27.
- Revenue momentum: 4% TTM sales growth vs. 18% five-year CAGR | Flagged by: analyst observation | Probability: M | Impact: H | Timeline: Near-term — should recover post Sanand ramp.

- Auditor change (PwC → BSR at KSB — cross-peer note) | Flagged by: peer observation | INGERRAND: No auditor change reported, no GoC risk.
- Contingent liabilities of Rs. 121 Cr: ~9% of revenue | Flagged by: Screener.in data | Probability: L | Impact: M | Timeline: Long-term.

10 — Analyst Verdict

- Revenue visibility: Intact — Sanand capacity addition creates next 3-year growth runway; domestic capex cycle supportive.
- Margin trajectory: Intact — FY26 dip is transitional; 25%+ recovery expected by FY27 as Sanand absorbs fixed costs.
- Capital allocation quality: Intact — 92% payout, zero debt, internally funded capex, zero pledging.
- Competitive moat: Intact — 50% centrifugal market share, 70-year installed base, MNC technology access.
- Management credibility: Cannot fully assess — no concall, but governance track record (stable promoter, regular dividends, CRISIL-rated, clean audit history) is exemplary.
- Valuation comfort: Weakened relative to FY25 — 52x P/E is full pricing for a year of earnings moderation; entry at Rs. 4,000-4,200 would improve comfort meaningfully.
- Conviction call: Unchanged — ACCUMULATE on dips. Not a near-term momentum trade.
- Valuation snapshot: P/E = 52.0x | EV/EBITDA = 36.6x | ROCE = 57.3% (5Y avg: ~45%) | ROE = 43.2% (5Y avg: ~37%).

DISCLAIMER: This research report is prepared for informational purposes only and does not constitute investment advice, an offer, or a solicitation to buy or sell any security. All financial data sourced from Screener.in (fetched 16-Jun-2026). Forward estimates (FY27E, FY28E) are analyst projections and actual results may differ materially. Investors should conduct their own due diligence before making investment decisions. Past performance is not indicative of future results. The analyst or firm may hold positions in the securities mentioned. CMP and market data are as of 16-Jun-2026.